

D079

Business Environment Applications II: Process, Logistics, and Operations

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

Method © 2026 Erik Daniel Lindquist — Course Mastery Coach, armored drill. Items drafted with AI assistance under his direction.

How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A project team rates three risks. Risk A: 20% chance, \$500,000 impact. Risk B: 60% chance, \$100,000 impact. Risk C: 5% chance, \$1,500,000 impact; the CFO flagged it in a board meeting. Which risk has the highest exposure?

- A. Risk C, because the CFO flagged it
- B. Risk B, because it is most likely
- C. Risk A, \$100,000
- D. Risk C, because its impact is largest

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A risk has an expected loss of \$45,000 and an impact of \$300,000 if it occurs. What probability was assigned?

- A. \$255,000
- B. About 6.67
- C. 15%
- D. 45%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

At a bank with 40 branches, a loan approval takes 10 days from application to decision. An outside consultant mapped the process and found only 6 hours of actual work on the file. What is the process cycle efficiency?

- A. 2.5%
- B. 97.5%
- C. 25%
- D. 60%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A process has 20% cycle efficiency and 3 hours of value-added time. What is its total cycle time?

- A.** 0.6 hours
- B.** 15 hours
- C.** 12 hours
- D.** 23 hours

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

In an 80,000-square-foot warehouse built in 2015, packers walk about 300 feet to the far wall each time they need tape and labels. Which lean waste is this?

- A.** Waiting
- B.** Not waste, since walking is always part of the job
- C.** Transportation
- D.** Motion

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A medical device company that owns a fleet of 50 trucks must ship a small, high-value replacement part to a hospital 2,000 miles away. The hospital's imaging machine is down, and every hour of downtime costs thousands. Which mode fits best?

- A.** Air
- B.** Rail
- C.** Truck, because the company owns a fleet
- D.** Ocean

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A retailer's sales revenue was \$2,000,000 and its cost of goods sold was \$1,200,000. Inventory was \$180,000 at the start of the year and \$120,000 at the end. What was inventory turnover?

- A. About 13.3 times
- B. 10 times
- C. 0.125 times
- D. 8 times

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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8. [TRANSFER — reversed stem / different variable]

A distributor's inventory turnover is 6 and its cost of goods sold is \$900,000. What is its average inventory?

- A. \$5,400,000
- B. \$900,000
- C. About 61 days
- D. \$150,000

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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9.

An overseas supplier with ISO certification and a modern factory quotes \$8.00 per unit. Freight adds \$1.20 per unit, and import duty is 5% of the unit price. A domestic supplier quotes \$9.40 per unit delivered. Which supplier is cheaper?

- A. Overseas, because \$8.00 is below \$9.40
- B. Domestic, \$9.40 vs. \$9.60
- C. Overseas, because certified suppliers are cheaper overall
- D. Overseas, \$9.20 vs. \$9.40

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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10. [TRANSFER — reversed stem / different variable]

A domestic supplier delivers for \$9.40 per unit. An overseas supplier charges \$8.00 per unit plus 5% duty on that price. What is the most freight per unit the overseas option can carry and still match the domestic cost?

- A. \$1.20
- B. \$1.00
- C. \$0.60
- D. \$1.40

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

Six months into a two-year ERP rollout from the market-leading vendor, with a \$4 million budget, employees doubt it will ever help, and nothing visible has changed. Leaders plan to share results only when the rollout is complete. What would best keep the change on track?

- A. Plan and publicize early wins, such as one module that visibly cuts order errors.
- B. Declare the project a success now to lift morale.
- C. Replace the most skeptical managers.
- D. Wait until the full rollout proves the value.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

Deliveries are late. Trucks leave late because loading finishes late. Loading finishes late because orders reach the warehouse late. Orders arrive late because the order system releases them in one batch at 3 p.m., a setting never updated after a second shift was added. The company recently switched truck-leasing firms. Which action addresses the root cause?

- A. Add more loaders.
- B. Hire more drivers.
- C. Change the order system to release orders throughout the day.
- D. Go back to the previous truck-leasing firm.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

A project team rates three risks. Risk A: 20% chance, \$500,000 impact. Risk B: 60% chance, \$100,000 impact. Risk C: 5% chance, \$1,500,000 impact; ~~the CFO flagged it in a board meeting~~. Which risk has the highest exposure?

Target word: highest expected loss **Decides:** A = 100,000; B = 60,000; C = 75,000.

A	Camouflage	Attention from leadership does not change expected loss.
B	Confusion set	Confuses likelihood with exposure; B is \$60,000.
C	Correct	$0.20 \times 500,000$ is the largest expected loss.
D	Dropped element	Drops probability; C's exposure is only \$75,000.

2. Answer C Concept 1 • transfer

A risk has an expected loss of \$45,000 and an impact of \$300,000 if it occurs. What probability was assigned?

Target word: solve for probability **Decides:** $45,000 / 300,000$.

A	Adjacent category	Subtracts instead of dividing.
B	Inverted operation	$300,000 / 45,000$ flips the ratio; probabilities cannot exceed 1.
C	Correct	$45,000 / 300,000 = 0.15$.
D	Wrong stem number	Reads the \$45,000 as a percent.

3. Answer A Concept 2

At a bank ~~with 40 branches~~, a loan approval takes 10 days from application to decision. ~~An outside consultant mapped the process and~~ found only 6 hours of actual work on the file. What is the process cycle efficiency?

Target word: process efficiency **Decides:** 6 hours / 240 hours.

A	Correct	10 days = 240 hours; $6 / 240 = 2.5\%$.
B	Inverted operation	The non-value-added share.
C	Wrong stem number	$6 / 24$ uses one day instead of ten.
D	Dropped element	$6 / 10$ drops the unit conversion from days to hours.

4. Answer B Concept 2 • transfer

A process has 20% cycle efficiency and 3 hours of value-added time. What is its total cycle time?

Target word: solve for cycle time **Decides:** $3 / 0.20$.

A	Inverted operation	Multiplies instead of divides.
B	Correct	$3 / 0.20 = 15$.
C	Adjacent category	The non-value-added time only.
D	Wrong stem number	Adds 3 and 20.

5. Answer D Concept 3

In an ~~80,000-square-foot~~ warehouse ~~built in 2015~~, packers walk about 300 feet to the far wall each time they need tape and labels. Which lean waste is this?

Target word: waste type **Decides:** People moving unnecessarily.

A	Adjacent category	Waiting is idle time, not walking.
B	Absolute language	Walking that adds no value is waste.
C	Confusion set	Transportation is moving materials or products.
D	Correct	Unneeded movement of people is motion waste.

6. Answer A Concept 4

A medical device company ~~that owns a fleet of 50 trucks~~ must ship a small, high-value replacement part to a hospital 2,000 miles away. The hospital's imaging machine is down, and every hour of downtime costs thousands. Which mode fits best?

Target word: transport mode **Decides:** Urgent, small and high-value.

A	Correct	Fastest; its cost is small next to downtime losses.
B	Adjacent category	Best for heavy bulk, not urgent small parts.
C	Camouflage	Owning trucks does not make a 2,000-mile drive fast enough.
D	Inverted operation	Slowest and cheapest, the opposite of what is needed.

7. Answer D Concept 5

A retailer's ~~sales revenue was \$2,000,000 and its~~ cost of goods sold was \$1,200,000. Inventory was \$180,000 at the start of the year and \$120,000 at the end. What was inventory turnover?

Target word: turnover **Decides:** COGS 1,200,000 / average inventory 150,000.

A	Camouflage	Uses sales instead of COGS.
B	Wrong stem number	Uses ending inventory instead of the average.
C	Inverted operation	150,000 / 1,200,000 flips the ratio.
D	Correct	$(180,000 + 120,000) / 2 = 150,000$; $1,200,000 / 150,000 = 8$.

8. Answer D Concept 5 • transfer

A distributor's inventory turnover is 6 and its cost of goods sold is \$900,000. What is its average inventory?

Target word: solve for average inventory **Decides:** $900,000 / 6$.

A	Inverted operation	Multiplies instead of divides.
B	Wrong stem number	COGS itself.
C	Adjacent category	Days of inventory, not average inventory.
D	Correct	$900,000 / 6 = 150,000$.

9. Answer B Concept 6

An overseas supplier ~~with ISO certification and a modern factory~~ quotes \$8.00 per unit. Freight adds \$1.20 per unit, and import duty is 5% of the unit price. A domestic supplier quotes \$9.40 per unit delivered. Which supplier is cheaper?

Target word: lower landed cost **Decides:** Overseas landed = $8.00 + 1.20 + 0.40 = 9.60$.

A	Adjacent category	Compares unit price, not landed cost.
B	Correct	Overseas landed cost is \$9.60.
C	Camouflage	Certification does not change the arithmetic.
D	Dropped element	Drops the \$0.40 duty.

10. Answer B Concept 6 · transfer

A domestic supplier delivers for \$9.40 per unit. An overseas supplier charges \$8.00 per unit plus 5% duty on that price. What is the most freight per unit the overseas option can carry and still match the domestic cost?

Target word: solve for break-even freight **Decides:** $9.40 - (8.00 + 0.40)$.

A	Wrong stem number	A freight figure from a different quote.
B	Correct	$9.40 - 8.40 = 1.00$.
C	Inverted operation	Subtracts the duty twice.
D	Dropped element	Drops the duty.

11. Answer A Concept 7

Six months into a two-year ERP rollout ~~from the market leading vendor, with a \$4 million budget~~, employees doubt it will ever help, and nothing visible has changed. Leaders plan to share results only when the rollout is complete. What would best keep the change on track?

Target word: response to growing skepticism **Decides:** No visible progress in a long change.

A	Correct	Short-term wins build credibility and momentum.
B	Confusion set	Declaring victory too early is a classic failure.
C	Adjacent category	Coercion does not build belief in results.
D	Dropped element	Drops interim wins; skepticism grows for 18 more months.

12. Answer C Concept 8

Deliveries are late. Trucks leave late because loading finishes late. Loading finishes late because orders reach the warehouse late. Orders arrive late because the order system releases them in one batch at 3 p.m., a setting never updated after a second shift was added. ~~The company recently switched truck leasing firms.~~ Which action addresses the root cause?

Target word: root-cause fix **Decides:** The outdated once-a-day batch setting.

A	Dropped element	Stops at the second why.
B	Adjacent category	Treats the symptom at the end of the chain.
C	Correct	Fixes the deepest cause in the chain.
D	Camouflage	The leasing change is not in the cause chain.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	6	
Wrong stem number	A figure copied from the prompt that is not the answer.	6	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	7	
Absolute language	Always, never, guarantee — where judgment applies.	1	
Confusion set	Every option is real; the test is exact role-matching.	3	
Camouflage	Answers a stem fact that was never the question.	5	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Risk exposure	Risk exposure (expected loss) = probability × impact; rank risks by exposure, not by impact or likelihood alone.	Ranking by the scariest impact or the most likely event.	Several risks, each with a probability and a dollar impact.
2	Process cycle efficiency	Process efficiency = value-added time / total cycle time, in the same units.	Mixing hours and days, or reporting the waste share.	A process with long waits and a few hours of real work.
3	Lean wastes	The wastes include overproduction, waiting, transportation (moving goods), inventory, motion (moving people), overprocessing and defects.	Confusing motion (people) with transportation (materials).	Who or what is moving, waiting or piling up.
4	Transport mode trade-offs	Air is fastest and most expensive; ocean is slowest and cheapest; rail suits heavy bulk over land; truck suits flexible door-to-door.	Choosing on convenience or owned assets instead of speed, cost and cargo.	Urgency, weight, value and distance of the shipment.
5	Inventory turnover	Turnover = cost of goods sold / average inventory; days of inventory ≈ 365 / turnover.	Using sales instead of COGS, or ending inventory instead of the average.	COGS, sales and beginning and ending inventory in one stem.
6	Total landed cost	Compare suppliers on landed cost: unit price + freight + duties and fees.	Choosing the lowest unit price.	An overseas quote with freight and a duty rate.
7	Short-term wins in change	Visible, planned early wins build credibility and momentum and blunt skepticism during long changes.	Waiting for the full rollout to show results, or declaring victory too soon.	A long change effort with growing doubt and no visible results.
8	Root cause analysis (5 Whys)	Keep asking why until you reach a cause that, if fixed, prevents recurrence; fix that, not the symptom.	Stopping at the first or second why.	A chain of causes leading from a visible symptom.

Course scope (public description): Business Environment II: Logistics, Process, and Operations provides students with a generalist overview of the business environment as they explore themes of ethics, problem-solving, and innovative thinking. This course adds to the students' business skills and knowledge in a number of professional areas. The first part of the course uncovers a series of business processes like project and risk management. The second part gives an introductory-level look at the specialized areas of operations management, supply chains, and logistics. The course finishes with models of change management and how to use them to overcome barriers in organizations.